

Wallace Group 401(k) Profit-Sharing Plan Annual 401(k) Safe-Harbor Notification

This Notice is designed to provide you with helpful information regarding participation in the Wallace Group 401(k) Profit-Sharing Plan. Under IRS Regulations, you will receive this Notice each year no sooner than 90 and no later than 30 days prior to the beginning of the Plan Year.

Your Plan provides an opportunity to direct a portion of your wages to the Plan to ensure the financial security of your retirement years. To supplement your salary deferrals to the Plan, your Employer may make additional contributions to your account as an investment in your future.

Types of Employee Deferrals

The amounts you contribute from your wages are referred to as salary deferrals. In your Plan, you may choose from two types of contributions:

- **Traditional Salary Deferrals.** If you make traditional 401(k) deferrals, the amount deducted from your pay is not subject to income tax until distributed from the Plan. You will be saving for your retirement, but your take-home pay may not be reduced by the full amount of your contribution.
- **Roth Salary Deferrals.** If you make Roth 401(k) deferrals, income taxes will continue to be applied to the amounts withheld as salary deferrals; however, you may not be taxed when you receive a distribution from the Plan if the distribution of Roth deferrals are "qualified". Distributions from your Roth accounts are considered "qualified" only if the distribution is made:
 - following attainment of age 59 1/2, death or disability; and,
 - the distribution does not occur before the end of the 5 year period that begins with the first taxable year for which you made a Roth 401(k) deferral to the Plan; or,
 - if earlier, the first taxable year for which you made a Roth deferral to another Roth 401(k) or Roth 403(b) plan that you rolled over to this Plan.

How Much Can I Defer to the Plan

You may defer the lesser of 100% of your wages or the annual dollar limit published by the IRS. In addition to the regular deferral amount, you may make an additional contribution if you are at least 50 years of age or if you will attain 50 years of age during the calendar year. If you elect to contribute 100% of your salary to the Plan, certain payroll taxes and deductions will be applied before the 401(k) amount can be deducted from your wages. You should check with your payroll administrator for further information.

During the 2023 Plan Year beginning January 1, 2023, the dollar limit for salary deferrals is \$22,500. If you are age 50 or older by December 31, 2023, you may also defer an additional \$7,500 to your account.

Safe Harbor Non-Elective Contribution

IRS regulations allow employers to determine if a safe-harbor contribution will be made for a current year. A decision has been made to make a ***FORMULA IS UNDEFINED***% safe-harbor non-elective contribution to eligible employees for the current Plan Year. Eligible participants will receive this contribution whether or not they elect to make salary deferrals to the Plan. This contribution will be 100% vested.

Your employer is also considering a safe-harbor non-elective contribution to your account for the 2023 Plan Year. No later than 30 days prior to the end of that year, you will receive a notice that will confirm if a contribution will be made.

Additional Employer Contributions

In addition to the safe-harbor contributions, Wallace Group may make additional contributions to the Plan. Information on contributions to the Plan are included in the Summary Plan Description that you may download from the Plan's web site. The method used to calculate these contributions may differ from the formula used to credit safe-harbor contributions. In addition, a vesting schedule may be applied to these contributions.

Vesting of Non Safe-Harbor Contributions

Vesting refers to the portion of your account that belongs to you. For example, the amount you contribute or rollover into the Plan is always 100% vested and although the value of your account may fluctuate with the market conditions, the entire balance belongs to you or your beneficiary. Vesting is based on the time you have been employed with this employer and the number of hours you work in each year.

Vesting Schedule Non-elective Contributions

<u>Years of Service</u>	<u>Percentage</u>	
Less than or equal to 1	0.00	%
2	20.00	%
3	40.00	%
4	60.00	%
5	80.00	%
6	100.00	%

Vesting Schedule Matching Contributions

<u>Years of Service</u>	<u>Percentage</u>	
Less than or equal to 1	0.00	%
2	20.00	%
3	40.00	%
4	60.00	%
5	80.00	%
6	100.00	%

Distributions from Your Plan

Regulations require distributions to be paid according to the provisions of the Plan document. A distribution can be made from your Plan when you:

- terminate employment, or
- are disabled

In certain cases you may be able to receive a distribution while you are employed. Please refer to the Summary Plan Description for details of in-service distributions. Information regarding all distribution provisions can be found in the Summary Plan Description or you may contact your Plan Administrator for assistance.

Investments

Participants are allowed to direct the investment of their balances in mutual funds selected by the Plan's fiduciaries. You should review the options and select investments to ensure your account is invested according to your overall investment goals. If you do not select investments for your account and the Plan receives new monies on your behalf, the funds will be applied to a default investment selected by the Plan Fiduciaries.

Other Information

The document permits your Employer to terminate the Plan. Should this Plan terminate, no additional contributions will be made(including the safe harbor 401(k) contribution) and the balance in your account will become fully vested, regardless of your years of service.

Additional information is available in the Summary Plan Description available from your Plan Administrator. If after reading the Summary Plan Description you have additional questions, your Plan Administrator will be able to assist.

You may contact your Plan Administrator at:

Contact: Jeff Green

Address: 2609 Dearborn Street
Easton, PA 18045

Telephone: (610) 258 - 5651

Email: jgreen@jswallacegroup.com